

DPDP 2023

Digital Personal Data Protection Act, 2023

Digital Personal Data Protection Act (DPDP), 2023

User Query :

I registered on an online lending application and allowed access to my contacts because the app said it was necessary for processing the loan. After I missed one instalment, the company began calling people from my contact list and telling them about my loan. Some contacts also received messages containing my photograph and personal details. I never agreed to this use of my information. What legal provisions may apply?

Job Id. :

Scenario 9/Digital Personal Data Protection Act (DPDP), 2023

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Date :

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AI-Powered Legal Intelligence Platform

APPLICABLE SECTIONS

Section 6 (1)

Consent must be *free, specific, informed, unconditional, unambiguous, and limited to the specified purpose*.

Section 4 (1)

Processing must be for a *lawful purpose* (with consent or legitimate use).

Section 12 (1)

Data fiduciaries *must not process personal data beyond the purpose for which it was provided*.

Section 14 (1)

Data fiduciaries *must provide notice* describing the personal data, purpose, and rights of the data principal.

Section 16 (1)

Data fiduciaries *must implement reasonable security measures* to protect personal data.

INTERPRETATION & LEGAL ANALYSIS

AI-generated legal interpretation

1 The lending app's actions violate multiple core principles of the DPDP Act: Consent Misuse (**Section 6 (1)**): The user consented *only* for "processing of contacts for loan processing" (**Section 6 (1)** illustration mirrors this). The app's use of contacts for *debt collection calls/messages* (including sharing the user's photograph and personal details) was not disclosed as part of the purpose. This exceeds the scope of consent, rendering it invalid. The Act mandates consent must be *specific* to the purpose (e.g., telemedicine app example in context: consent for contact list access was invalid as it was unnecessary for service). Purpose Limitation (**Section 12 (1)**): The app processed contacts *beyond the original purpose* (loan processing) to harass contacts about the user's debt. **Section 12 (1)** explicitly prohibits such overreach. The context's illustration (bank app requiring consent for KYC) requires notice of *all purposes*—the app failed to disclose debt collection as a purpose. Notice Obligation (**Section 14 (1)**): The app did not notify the user that contacts would be used for debt collection calls/messages. **Section 14 (1)** requires informing the data principal of *all purposes* upfront. The absence of such notice invalidates the processing. Security Failure (**Section 16 (1)**): The app's failure to secure contact data (leading to misuse of photographs/personal details) breaches **Section 16 (1)**, which mandates "reasonable security measures" to prevent unauthorized processing.

- 2** Key Legal Reasoning: The app's claim that contact access was "necessary for loan processing" is legally insufficient. **Section 6** (1) requires consent to be *limited to necessary data*; contacts are irrelevant to loan processing (unlike KYC documents). Debt collection via third-party contact calls constitutes *unauthorized processing* (**Section 12** (1)), as the user never agreed to share their data with contacts for this purpose. No "legitimate use" exception (**Section 4** (1)(b)) applies: Debt collection via contact lists is not a "legitimate use" under the Act (it violates consent and purpose limits).

3

✓ STRENGTHS & RIGHTS

1

Right to Restrict Processing (**Section 13** (1))

The user can demand the app *stop processing contacts* for debt collection.

2

Right to Notice (**Section 14** (1))

The user can demand the app disclose *all purposes* of data processing (including debt collection).

3

Right to Complaint (**Section 14** (3))

The user can file a complaint with the Data Protection Board (DPB) for unauthorized processing.

4

Right to Remedies (**Section 42**)

The user can seek compensation for harm (e.g., harassment from contacts).

✗ RISKS & OBLIGATIONS

1

Penalties (**Section 43**)

2

For *non-compliance with Sections 6, 12, 14*

Up to ₹250 crore (or 4% of global turnover).

3

For *failure to implement security measures (**Section 16**)*

Additional penalties under **Section 43** .

4

Liability for Damages (**Section 42**)

5

The bank must compensate the user for **all losses** (e.g., reputational harm, harassment) and compensate **contacts** for unauthorized disclosure.

6

Injunctions ([Section 41](#))

7

The DPB can order the bank to **cease processing**, delete data, or halt debt collection calls.

8

Audit Liability ([Section 35](#))

9

The bank must undergo mandatory compliance audits; failure incurs penalties under [Section 43](#) .

PROCEDURAL NOTES & COMPLIANCE STEPS

Actionable steps for compliance and grievance redressal

GRIEVANCE REDRESSAL

1. The user must first file a complaint with the bank's **grievance officer** ([Section 14](#) (2)). If unresolved in 30 days, escalate to the Data Protection Board (DPB).
2. DPB Complaint Process:
3. File: Online via DPB portal ([Section 14](#) (3)).
4. DPB Action:
5. Issue cease-and-desist orders ([Section 41](#)).
6. Direct compensation ([Section 42](#)).
7. Impose penalties ([Section 43](#)).
8. Conduct audits ([Section 35](#)).

PENALTIES

1. First violation: Up to ₹250 crore.
2. Repeat violations: Higher penalties (up to ₹500 crore).

COMPLIANCE AUDITS

1. Banks must conduct annual audits ([Section 35](#)) to ensure adherence to Sections 6, 12, 14, and 16. Non-compliance triggers DPB action.
2. > Key Takeaway: The bank's actions violate **multiple core pillars** of the DPDP Act (consent specificity, purpose limitation, notice, and security). The user has strong grounds to file a DPB complaint for damages, injunctions, and penalties. The bank's claim of "necessity" for contact

access is legally untenable under **Section 6** (1).

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